

Tanker Shipping

Bi-Weekly Industry Report

September 22, 2026

- Eastern Disruptions Support Atlantic Tightness** – The East continues to lead VLCC freight strength, with steady enquiry and declining prompt availability **keeping owners in control**. Damage to Saudi Arabia's East-West pipeline has disrupted the Yanbu bypass, while Houthi attacks have made Red Sea security risk an active constraint on export routes. Aramco has reportedly suspended contracted crude supplies to Indian refiners, increasing replacement requirements and procurement costs, although **limited Saudi spot cargoes** may still reach India through traders. Before the suspension, **Yanbu** crude and condensate loadings were estimated at 2.9 million bpd in early September, up from 1.5 million bpd in August. The 21 September tracking update **reported no observed crude loadings since 16 September**. Meanwhile, some tankers continue to cross Hormuz with AIS switched off, leaving visible transit counts unable to capture the full extent of physical movements. Shuttle movements through Hormuz and onward transfers near Oman are supporting Gulf exports while absorbing additional vessel time. Provisional vessel-tracking estimates put total Saudi crude exports at just over 4 million bpd in September to date, compared with 2.4 million bpd in August. Aramco's reported 60-million-barrel September-October sales programme provides further employment on the shuttle and onward Asian legs, although these contracted volumes have not all completed transit. **Transfers and waiting times continue to constrain fleet efficiency**. CENTCOM said on 19 September that the main transit lanes were clear of mines and Gulf allies had shipped more than one billion barrels over the preceding couple of months, alongside US efforts to facilitate passage. Improved flows nevertheless remain dependent on a transport system that requires additional vessel capacity.

- Oil Prices Push Past \$100/bbl as Infrastructure Hits Accelerate** – Brent crude oil prices remain **elevated above \$100/bbl**, though slightly down from recent highs, following a series of attacks on critical Middle Eastern energy infrastructure during the last week. Over the past six months, ongoing market disruptions have led to substantial **drawdowns in both strategic and commercial inventories**, leaving the global supply significantly tighter with minimal reserve buffers. Concurrently, **diesel prices** have reached record levels due to severe global refining constraints, exacerbated by **recent strikes on Russian refining facilities**. Because near-term stability hinges on volatile diplomatic and political developments, energy supply forecasting remains subject to exceptional uncertainty. In such an uncertain environment the only certainty remains **extreme volatility based on headline news** coming from all relevant sides on the two main ongoing conflicts.

- Our Long-term View** – The tanker market has been recovering from a long period of staggered rates as the growth in new vessel supply shrunk while oil demand remained elevated in line with the global economy. The recent rapid increase in freight rates has led to significant new vessel ordering, with the orderbook now standing at well above average levels, and although in the near term such a supply/demand misbalance is small, we expect a meaningful negative balance to develop longer term leading to an industry downcycle.

Short-term Indicators

Momentum: **Positive**
 Sentiment: **Positive**
 Fundamentals: **Positive**

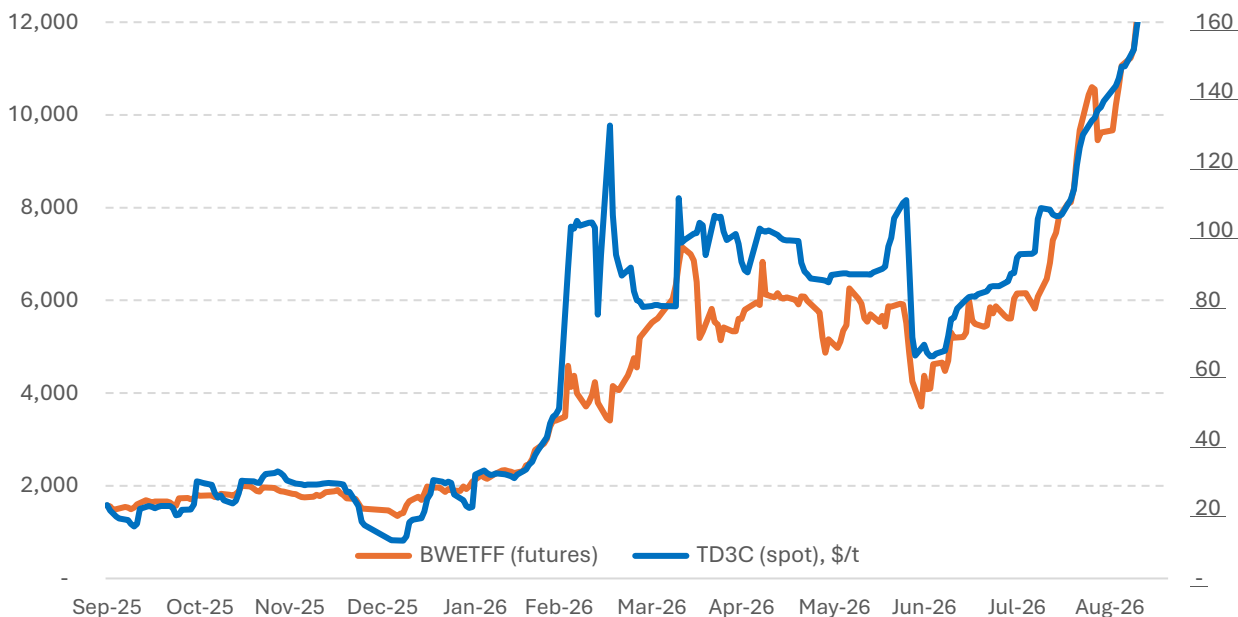
Breakwave Tanker Futures Index: **18873**
 30D: 80.9% ↑
 YTD: 1184.7% ↑
 YOY: 1080.1% ↑

VLCC Middle East-Asia Spot Rates: **235.45**
 30D: 98.5% ↑
 YTD: 1553.9% ↑
 YOY: 945.8% ↑

Reuters: BWET.K
 Bloomberg: BWET US
 Exchange: NYSE

Breakwave Advisors Research
research@breakwaveadvisors.com

VLCC Spot Index (TD3C) vs Breakwave Tanker Futures Index (BWETFF)



The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand

	YTD	YOY
World Oil Demand	106,667 kbpd	1.2%
Oil Supply, OPEC	19,910 kbpd	-30.5%
Oil Supply, non-OPEC	79,582 kbpd	8.6%
OECD Total Crude Oil Stocks	1022.2 MMbbls	-1.5%
US Crude Oil Exports	28.4 MMbbls	21.1%
China Oil Imports	321.4 MMbbls	-14.6%
Global Crude Oil On Water	1271.7 MMbbls	6.0%

Supply

Tanker Fleet	733.8 mdwt	4.1%
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Freight Rates

VLCC Middle East-Asia, USD/ton	79.62	507.3%
Suezmax West Africa-Europe, USD/ton	39.71	135.9%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals

Sources: Bloomberg, IEA, Clarkson's and Breakwave Advisors

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